NOTE 7 NONCURRENT LIABILITIES (Continued)

C. Debt Service Requirements (Continued)

The pledge of future water fund revenues ends upon repayment of the $3.7 million in remaining debt service on the Water Revenue Bonds and City of Palo Alto Loan, which are both scheduled to occur in Fiscal Year 2028-29. For the fiscal year ended June 30, 2025, Water Fund revenues including operating revenues, non-operating interest earnings, capital contributions – developer fees, and transfers in amounted to $51.1 million and operating expenses, excluding depreciation or amortization amounted to $38.1 million. Net Revenues available for debt service amounted to $13.0 million, which represented coverage of 14.0 over the $929,000 in debt service.

The pledge of future wastewater fund revenues ends upon repayment of the $7.7 million in remaining debt service on the Wastewater Direct Financing Arrangement, which are scheduled to occur in Fiscal Year 2033-34. For the fiscal year ended June 30, 2025, Wastewater Fund revenues including operating revenues, non-operating interest earnings, capital contributions – developer fees, and transfers in amounted to $39.1 million and operating expenses, excluding depreciation or amortization amounted to $25.6 million. Net Revenues available for debt service amounted to $13.5 million, which represented coverage of 15.8 over the $852,000 in debt service.

Annual debt service requirements to maturity are as follows (dollars in thousands):

For the Fiscal Year	Governmental Activities		Business-type Activities (Excluding Wastewater Direct Financing Arrangement)		Wastewater Direct Financing Arrangement	
Ending June 30	Principal	Interest	Principal	Interest	Principal	Interest
2026	$ 1,940	$ 3,878	$ 825	$ 101	$ 641	$ 212
2027	2,025	3,793	850	78	663	190
2028	2,105	3,703	875	53	685	167
2029	2,205	3,607	900	27	709	144
2030	2,300	3,507	-	-	733	119
2031-2035	13,110	15,795	-	-	3,191	219
2036-2040	16,740	12,153	-	-	-	-
2041-2045	19,175	7,901	-	-	-	-
2046-2049	20,891	2,153	-	-	-	-
Total	$ 80,491	$ 56,490	$ 3,450	$ 259	$ 6,622	$ 1,051

There are a number of limitations, covenants and restrictions contained in the various bond indentures. The City is in compliance with all material limitations, covenants and restrictions.

NOTE 8 PENSION PLANS

A. General Information about the Pension Plans

Plan Descriptions – All qualified regular and probationary employees are eligible to participate in either the City's Miscellaneous (all other) or Safety (police and fire) plans (Plans), agent multiple-employer defined benefit pension plans administered by CalPERS, which acts as a common investment and administrative agent for its participating member employers. Benefit provisions under the Plans are established by State statute and City resolution. CalPERS issues publicly available reports that include a full description of the pension plans regarding benefit provisions, assumptions and membership information that can be found on the CalPERS website at www.calpers.ca.gov.

NOTE 11 LEASES (Continued)

A. City as Lessor (Continued)

The annual lease receipt schedule for the lease receivables is as follows (dollars in thousands):

For the Fiscal Year	General Fund/ Governmental Activities			Park Land Dedication Fund/ Governmental Activities		
Ending June 30	Principal	Interest	Total	Principal	Interest	Total
2026	$ 10,832	$ 12,656	$ 23,488	$ 134	$ 1	$ 135
2027	11,342	12,479	23,821	-	-	-
2028	12,615	12,286	24,901	-	-	-
2029	13,790	12,067	25,857	-	-	-
2030	14,740	11,829	26,569	-	-	-
2031-2035	81,954	55,134	137,088	-	-	-
2036-2040	111,176	46,795	157,971	-	-	-
2041-2045	152,393	35,556	187,949	-	-	-
2046-2050	199,476	20,324	219,800	-	-	-
2051-2055	61,205	7,900	69,105	-	-	-
2056-2060	35,614	4,684	40,298	-	-	-
2061-2065	26,087	1,636	27,723	-	-	-
2066-2070	9,651	407	10,058	-	-	-
Total	$ 740,875	$ 233,752	$ 974,627	$ 134	$ 1	$ 135

B. City as Lessee

As a lessee, the City entered into lease agreements with various lease terms. For the year ended June 30, 2025, the City had not paid any variable and other payments for the lease arrangement. As of June 30, 2025, the leased liabilities balance was $3.3 million.

The annual debt service requirement for the leases liabilities is as follows (dollars in thousands):

For the Fiscal Year	Governmental Activities		
Ending June 30	Principal	Interest	Total
2026	$ 663	$ 81	$ 744
2027	705	63	768
2028	655	44	699
2029	608	28	636
2030	642	11	653
2031	94	-	94
Total	$ 3,367	$ 227	$ 3,594

NOTE 11 LEASES (Continued)

C. Significant Lease Arrangements (Continued)

MV 101 Development, LLC - On April 1, 2015, the City, as lessor, entered into a DDA and a 55-year ground lease with MV 101 Development, LLC, (MV 101), an entity not affiliated with the City. The DDA provides for the development of 6.69 acres of land owned by the City, at 750 Moffett Boulevard, commonly referred to as Ameswell (formerly Moffett Gateway) in conjunction with adjacent land formerly owned by Caltrans and acquired by MV 101, with a hotel, office building and joint parking structure. The ground lease provides for the rental of the City land for 55 years with four 10-year extensions. The agreement also provides for office building minimum rent upon the issuance of a building permit at $140 per buildable square foot at 5.0 percent of the fair value of the land, with increases of 3.0 percent per annum. Commencing with the 16th operating year and every 10 years thereafter, the building minimum base rent shall be increased or decreased to the current market rate based on 5.0 percent of the then current fair value of the property or the initial base rent, whichever is higher and adjusted thereafter by the annual CPI. As of June 30, 2025, the amount of lease receivable is $61.7 million.

NOTE 12 SUBSCRIPTION-BASED INFORMATION TECHNOLOGY ARRANGEMENTS (SBITA)

The City entered into various agreements for SBITA. The City is required to recognize a SBITA liability and an intangible right-to-use SBITA asset. The City defines SBITA as balances with an initial individual value of more than $200,000.

For the year ended June 30, 2025, the City had not paid any variable and other payments for the SBITA. As of June 30, 2025, the SBITA liabilities balance was $4.9 million.

The annual debt service requirement for the SBITA liabilities is as follows (dollars in thousands):

For the Fiscal Year	Governmental Activities		
Ending June 30	Principal	Interest	Total
2026	$ 432	$ 142	$ 574
2027	455	129	584
2028	283	118	401
2029	292	109	401
2030	301	100	401
2031-2035	1,657	350	2,007
2036-2040	1,528	77	1,605
Total	$ 4,948	$ 1,025	$ 5,973

Significant SBITA Arrangements

Axon Enterprise Inc

In Fiscal year 2024-25, the City entered into an agreement with Axon Enterprise Inc. (Axon) for the purchase and use of Axon devices and services, which includes hardware provided by Axon and Axon's web and cloud services, as well as other professional services. The term of the agreement is 10 years with an additional 5-year extension. The annual payment ranges from $390,000 to $429,000. The SBITA asset and liability related to the Axon agreement is $4.9 million. As of June 30, 2025, the amount of SBITA liability is $4.6 million.

NOTE 7 NONCURRENT LIABILITIES (Continued)

B. Descriptions of Noncurrent Liabilities (Continued)

2022 Refunding Revenue Bonds Shoreline Regional Park Community - On November 22, 2022, the Shoreline Community issued the 2022 Bonds of $21.6 million through private placement. Proceeds from the 2022 Bonds were used to fully refund the outstanding 2011 Bonds of $21,100,000. The 2022 Bonds are special obligations of the Shoreline Community and are secured by a portion of all taxes levied upon all taxable property within the Shoreline Community. Principal payments are payable annually on August 1 and interest payments semi-annually on August 1 and February 1 from property tax revenues generated within the Shoreline Community. The refunding resulted in net present value savings of $1.1 million. The Shoreline Community is considered to be in default if the Shoreline Community fails to pay the principal of and interest on the outstanding bonds when they become due and payable. If an event of default has occurred and is continuing, the trustee may, and if requested in writing by the owners of a majority in aggregate principal amount of the bonds then outstanding, declare the accreted value and principal of the bonds, together with the accrued interest, to be due and payable immediately.

C. Debt Service Requirements

The pledge of future tax increment revenues ends upon repayment of the $137.0 million in remaining debt service on the Shoreline Community's Revenue Bonds, which is scheduled to occur in Fiscal Year 2048-49. For the fiscal year ended June 30, 2025, tax increment revenues amounted to $73.2 million, which represented coverage of 12.6 over the $5.8 million in debt service.

Annual debt service requirements to maturity are as follows (dollars in thousands):

For the Fiscal Year Ending June 30	Principal	Interest	Total
2026	$ 1,940	$ 3,878	$ 5,818
2027	2,025	3,793	5,818
2028	2,105	3,703	5,808
2029	2,205	3,607	5,812
2030	2,300	3,507	5,807
2031-2035	13,110	15,795	28,905
2036-2040	16,740	12,153	28,893
2041-2045	19,175	7,901	27,076
2046-2050	20,891	2,153	23,044
Total	$ 80,491	$ 56,490	$ 136,981